

1928.HK pitch deck

PITCH — 1928.HK (Sands China) — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: DO NOT BUY. Stay flat, no orders. Both review benches independently reached the same conclusion (conviction 8/10 each). Re-examine the name after the September 1 Macau visitor-spending data and the Q3 earnings report — not after the August 14 interim results, which cannot resolve the question that matters.

What we believe

Sands China is a real business having a bad year, and the one thing the bulls point to is genuine: the company grew its mass-market gambling volume 15% in a flat Macau market, taking share from Galaxy and MGM and holding the #1 position. The stock is down 36% from its 52-week high.

But everything else in the original bull case failed inspection:

- **Profitability is falling, not stabilizing.** Q2 net income halved to \$107 million. Reported EBITDA fell 24% to \$430 million. Even after adjusting for unlucky gambling outcomes (“hold”), EBITDA fell 7.5% *despite* the 15% volume growth. The company is spending roughly 26.6 cents of every mass-gambling dollar on promotions and comps to win that share. Volume growth bought with margin is a promotional war, not operating leverage.
- **The dividend doesn’t pay you enough to wait.** The quoted 5.28% yield is backward-looking. When we actually computed the after-tax return for a US taxable holder (Sands China is a Cayman-incorporated, non-treaty issuer, so the dividend is likely taxed as ordinary income at roughly 50%), the net yield is about **2.6% — below our 3.5% minimum bar** for holding something purely for income. And with net income halved, even maintaining the current payout doubles the payout ratio.
- **The August 14 dividend decision tells you almost nothing.** Las Vegas Sands owns 74.8% of this company and controls the board. Roughly 75 cents of every dividend dollar flows to a parent that is funding Singapore expansion and a New York casino license bid. The dividend is the parent routing cash to itself, not the local board signaling confidence. (One real wrinkle: because the cash flow is real, a dividend *raise* would mechanically worsen Sands China’s ~\$5.4 billion net debt.)
- **The deleveraging story has a structural ceiling.** Sands China committed roughly MOP 30 billion (~\$4.5 billion restated) of investment in Macau through 2032 as a condition of its gaming concession. “The heavy capex is behind them” is wrong at the concession level even if quarterly margins recover.
- **The share gain invites retaliation.** Taking 15% more volume in a flat market is taken from competitors; the symmetric risk is a sector-wide promotional ratchet that makes everyone’s

margins worse.

The bet you would actually be making at HK\$14.31 is that management's promise to "optimize" second-half margins comes true. That is a promise, not a mechanism, and it cannot be verified until the Q3 report — two events from now.

What the market believes

The market has already marked this down and is not confused about why. Coverage is dense: Macquarie's price target is HK\$15.00 — only 4.8% above the current price — and CICC has been cutting. A \$14.9 billion company covered this heavily, trading this close to the consensus target after a widely-read parent-company earnings release (every Q2 number was public via Las Vegas Sands' July 22 filing), is not a neglected or misunderstood situation. The market appears to be pricing: weak Macau (July gaming revenue down 8.4% year-over-year per the government's own data), a margin-eroding promotional environment, heavy leverage, and a controlled-company discount — which is roughly what the evidence supports.

Why we might have edge

Honestly: we found no edge at current prices. The candidates we tested and their outcomes:

1. **The share-gain is real and persistent.** If reinvestment spending normalizes while the volume share sticks, earnings power is meaningfully higher than the current run-rate. This is the one surviving positive, but it is unverifiable until Q3.
2. **July's ugly revenue number has excuses.** July carried named one-off drags (World Cup distraction, typhoons) and year-to-date Macau revenue is still +4.4%. The bear reading of July as proof of a shrinking customer wallet was judged an over-reach by our own second bench — that question is genuinely open, and the September 1 spend-per-visitor data will answer it.
3. **A forced-seller or panic price could appear.** The stock already bounced 12% off its 52-week low, so today is not a fresh dislocation — but a break below the low on no new fundamental news would be worth a fast re-look.

None of these justify buying today; they define the conditions under which we would come back.

Why it might be priced in

- Every economic figure in the upcoming August 14 report is already public through the parent's July 22 release ([LVS 8-K exhibit, SEC](#)). There is no information asymmetry to exploit at the print.
- Sell-side coverage is dense and already bearish-to-neutral, with targets essentially at the current price.
- The government publishes the sector's revenue monthly — the macro deterioration is the most public fact in the story.

- Our own attention/positioning read (reasoning-level, connector not formally run — noted as a gap) says the name is crowded, not overlooked.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q2: revenue \$1.78bn, net income -50% to \$107m, EBITDA \$430m (-24%), hold-adjusted ~\$517m (-7.5%)	Both benches independently recomputed from the LVS July 22 release property tables; cross-checked against three trade-press writeups after SEC direct fetch was blocked (403)	Arithmetic ties out exactly across both benches	YES
5.28% dividend yield supports holding for income	Recomputed after-tax: HK\$0.75 trailing ÷ 14.31, Cayman non-treaty issuer → likely ordinary-income tax ~50% → ~2.6% net vs our 3.5% bar; even the favorable 23.8% tax branch gives ~4.0% on a payout net income no longer covers	Fails the income bar on either tax branch	YES (tax status of the ADR venue itself unverified — but both branches fail)
Aug 14 dividend decision is a management-confidence signal	Ownership/incentive analysis: LVS holds 74.8%, controls the board, needs cash for Singapore/New York	It's parent cash-routing, not a signal. Our first draft (blue) missed this entirely; the red bench caught it.	YES (logic), with blue's correction that the cash effect on net debt is still real
July Macau revenue -8.4% proves the customer wallet is shrinking	Government (DICJ) tape confirmed the number; second bench audited the interpretation	Red bench over-reached here: July had World Cup/typhoon comps, YTD is +4.4%, and the mass win-rate drop may be customer-mix, not spending compression. Downgraded to an open question.	Number YES; interpretation NO — open
Aug 14 results date	Company board-meeting announcement (via TipRanks summary)	Confirmed	YES
Net debt ~\$5.4bn; luck-vs-mix split of the win-rate drop	No Sands-China-only primary balance sheet exists until Aug 14; decomposition not run	Unverified, self-admitted by both benches	NO
MOP 30bn concession investment commitment caps deleveraging to 2032	Company's own concession-investment press release	Confirmed. Blue bench had this fact and failed to use it in the first draft — surfaced only on review.	YES
Live price at decision time	IBKR quote check	Blocked — permission not granted this session. Pack close HK\$14.31 stands (HK market was closed at build).	NO — declared gap

Claim	How checked	Found	Confirmed?
Red bench's proposed re-review trigger (Aug 14)	Second-bench audit	Mis-set: Aug 14 yields only the net-debt patch; the real triggers are Sept 1 spending data and Q3 margins. Corrected.	YES (corrected)

PROPOSED ENTRY BANDS

No entry now. The courts' verdict is flat, so these are the *reopen* conditions, built from the benches' own math:

- **Income-alone reopen: below ~HK\$10.70** (with the HK\$0.75 dividend held). At that price the worst-case after-tax yield ($0.75 \times 50\% \div \text{price}$) clears our 3.5% bar with no growth assumptions. If the Aug 14 dividend is cut, scale this level down proportionally (e.g., HK\$0.50 dividend $\rightarrow$ ~HK\$7.15).
- **Dislocation reopen: below HK\$12.77** (the 52-week low) on no new fundamental news — a break of the low would be a fresh markdown, unlike today's price, which is already 12% off the bottom.
- **Fundamental reopen (any price near current levels) requires, per both benches:** (a) Sept 1 data showing Macau spend-per-visitor stabilizing, or August revenue positive excluding the World Cup comparison; **and/or** (b) the Q3 report showing hold-adjusted EBITDA margin flat-or-up with promotional reinvestment at or below 26.6% of mass revenue — the direct test of management's "optimize" promise. A meaningfully-below-\$5.4bn net debt figure on Aug 14 plus explicit spending-discipline language would advance the timetable but is not sufficient alone.
- **Special situation:** any Las Vegas Sands filing seeking to buy above its 75% cap — treat as an immediate re-court, not an entry.
- **Sizing:** none now; to be set at re-court. **Catalyst dates:** Aug 14, 2026 (interim results + dividend — confirmed by company announcement); Sept 1, 2026 (July/August Macau government data + spend-per-visitor); Q3 report ~late October 2026 (date unconfirmed).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 10.7 (deck-provisional: worst-case after-tax yield on HK\$0.75 trailing dividend clears the 3.5% income bar (rescale if DPS cha)
- dated pack 1928.HK|2026-08-14: 1928.HK: Sands China interim results: first standalone net debt figure + dividend decision (low-signal, cash-mechanical) (date confirmed=True)
- dated pack 1928.HK|2026-09-01: 1928.HK: Macau government August gaming revenue + spend-per-visitor series — the designated wallet-compression test (date confirmed=False)
- dated pack 1928.HK|2026-10-21: 1928.HK: Q3 report: hold-adjusted margin with reinvestment $\leq 26.6\%$ of mass revenue — the bull case's actual falsifier (date approximate) (da

What remains unverified

- **Sands China's standalone net debt** (~\$5.4bn is an estimate; first primary figure arrives Aug 14).
- **Why the mass win-rate fell 1.63 points** — bad luck vs. a shift toward lower-spending customers. This decomposition was never run and it is the crux of the wallet question.
- **The ADR's tax treatment** (which of the two tax branches applies) — though the income case fails on both, so the verdict doesn't turn on it.
- **Live executable quotes** — the IBKR check was blocked this session; all price math rests on the pack close of HK\$14.31.
- **The crowdedness read** — reasoned but not run through the formal positioning connector.
- **Management's 2H margin promise** — unverifiable by construction until Q3; this is the entire remaining bull case, which is precisely why the verdict is “not now” rather than “never.”

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